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VIA eFILING

Hon. Debbie-Anne A. Reese, Secretary
Federal Energy Regulatory Commission
888 First Street, NE
Washington, DC 20426

Re: Cottonwood Energy Company LP
Entergy Louisiana, LLC
Docket No. EC26-43-___

Dear Secretary Reese:

Entergy Louisiana, LLC ("Entergy Louisiana"), on behalf of the Applicants[1] in the captioned proceeding, responds to the request of the Federal Energy Regulatory Commission, issued February 18, 2026, for further information to analyze the Applicants' pending Joint Application for Transaction Authorization Pursuant to Section 203 of the Federal Power Act ("Joint Application").[2]

In support of the Joint Application, the Applicants provided a comprehensive generation market power study prepared by Dr. John R. Morris that assesses whether the Proposed Transaction will create or enhance market power in wholesale markets. In response to the Commission's February 18, 2026, inquiry, Dr. Morris has prepared additional analysis, which the Applicants provide here together with additional explanation that supports a conclusion that the Proposed Transaction is consistent with the public interest.

Entergy Louisiana respectfully requests the Commission to establish a public comment period for this submission not to exceed ten (10) days.

Entergy Louisiana provides the following responses to the Commission's February 18, 2026, inquiry organized with reference to the questions in the inquiry.

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1. The Applicants are Cottonwood Energy Company LP, and Entergy Louisiana, LLC.

2. Capitalized terms defined in the Joint Application have the same meaning when used in this submission.

Horizontal Competition Analysis: Capacity Markets

Regarding the MISO capacity market, you state the following:

The transaction will have little effect on capacity markets because the proposed transaction will help Entergy Louisiana meet its capacity obligation. Accordingly, it is likely that but for the acquisition of the Cottonwood Project, Entergy Louisiana would seek to acquire other capacity via contract or other means. Withholding the Cottonwood Project from capacity auctions would be against Entergy Louisiana's interests as a load-serving entity, as any perceived benefit received is offset by increased costs, as well as regulatory accounting to ratepayers.[3]

1. Please provide a horizontal Competitive Analysis of the effect of the Proposed Transaction on the MISO capacity market, as required by 18 C.F.R. § 33.3(a)(1), and described in 18 C.F.R. § 33.3(b)-(f). To the extent you assert that a horizontal Competitive Analysis of the MISO capacity market need not be filed, please make the demonstrations required by 18 C.F.R. § 33.3(a)(2)(i) and (ii).[4]

Entergy Louisiana is approximately balanced today, and it will be short of capacity beginning in 2027 if it does not acquire the Cottonwood Project. In fact, Entergy Louisiana will be short of capacity in many years even with acquisition of the Cottonwood Project. In its Integrated Resource Plan, which is filed every four years with the Louisiana Public Service Commission ("LPSC") through a stakeholder process and in compliance with LPSC rules, Entergy Louisiana projects the need for new resources to balance its portfolio. Entergy Louisiana projects peak load to increase by 7.7% per year on average over the next five years[5]. Even after accounting for the purchase of the Cottonwood Project and other planned projects, Entergy Louisiana projects resource deficits in eight years out of 10 between 2027 and 2036. The quantity of surplus in the projected surplus years is 764 MW in 2027 and 744 MW in 2031, which is less than the summer seasonal capacity of the Cottonwood Project of 1,086 MW. Therefore, without the Cottonwood Project, Entergy Louisiana would project deficits in each year.

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3. Application, Ex. JM-1 at 23.

4. 18 C.F.R. § 33.3(a)(1) ("[t]he applicant must file the horizontal Competitive Analysis Screen described in paragraphs (b) through (f) of this section if, as a result of the proposed transaction, a single corporate entity obtains ownership or control over the generating facilities of previously unaffiliated merging entities…"); 18 C.F.R. § 33.3(a)(2) ("[a] horizontal Competitive Analysis Screen need not be filed if the applicant: (i) Affirmatively demonstrates that the merging entities do not currently conduct business in the same geographic markets or that the extent of the business transactions in the same geographic markets is *de minimis;* and (ii) No intervenor has alleged that one of the merging entities is a perceived potential competitor in the same geographic market as the other.").

5. Entergy Louisiana 2027 IRP Data Filing (ELL 2027 IRP Data Assumptions.pdf), accessed on March 12, 2026. https://www.entergylouisiana.com/wp-content/uploads/Entergy-Louisiana-2027-IRP-Data-Assumptions.pdf.

Table 1 Entergy Louisiana Integrated Resource Plan (MW)

		Surplus/Deficit	
Year	ELL Peak Load	Without Cottonwood	with Cottonwood
2027	10,651	-322	764
2028	12,212	-1513	-427
2029	13,343	-1456	-370
2030	13,915	-1380	-294
2031	14,240	-342	744
2032	14,365	-1127	-41
2033	14,509	-1389	-303
2034	14,626	-1984	-898
2035	14,740	-2479	-1393
2036	14,873	-2590	-1504

Pelican Power, LLC, the MISO Market Participant for Cottonwood Energy Company LP, currently bids all the capacity of the Cottonwood Project into the MISO Planning Reserve Auction ("PRA"). Consistent with the explanation provided in response to Question 3, below, the transfer of the Cottonwood Project's ownership to Entergy Louisiana would therefore reduce the incentive to increase prices in the PRA and enhance competition in the capacity market.

The foregoing projection based on Entergy Louisiana Integrated Resource Plan data makes clear that Entergy Louisiana will be short of capacity during every year of the next ten years if it does not acquire the Cottonwood Project, and it will be short of capacity during eight out of the next ten years even if it does acquire the Cottonwood Project. These projections demonstrate that the Proposed Transaction will not have an anti-competitive effect on the MISO capacity market. With that showing, Entergy Louisiana asserts that that a horizontal Competitive Analysis of the MISO capacity market need not be filed.

In light of its assertion that a horizontal Competitive Analysis of the MISO capacity market need not be filed, Entergy Louisiana makes the following demonstrations required by 18 C.F.R. § 33.3(a)(2)(i) and (ii).

Pursuant to 18 C.F.R. § 33.3(a)(2)(i), the extent of the Applicants' business transactions in the same geographic markets is *de minimis*. As Entergy Louisiana's Integrated Resource Plan data shows above, all of Entergy Louisiana's generating capacity will be needed in every year between 2027 and 2036 to serve its peak load. Following Entergy Louisiana's acquisition of the Cottonwood Project, all of Entergy Louisiana's capacity will be needed in every year between 2027 and 2036 to serve its peak load except during 2027 and 2031. In those years when Entergy Louisiana will have capacity surplus to its peak load obligations, its surplus capacity (764 MW in 2027 and 744 MW in 2031) will represent

less than 0.40% of MISO's current installed generating capacity of 207 GW.[6] This measure supports a conclusion that the effect of the Proposed Transaction will be *de minimis* with respect to the MISO capacity market.

Commission precedence under analogous circumstances further supports a conclusion that the Proposed Transaction will be consistent with the public interest. In *Osprey Energy*,[7] the Commission noted, as one of the factors it relied upon to conclude that the proposed transaction in that proceeding did not raise horizontal market power concerns, the acquiring utility represented that it needed to increase its generating capacity to meet projected native load and a required reserve margin.[8] Entergy Louisiana's Integrated Resource Plan data above shows that Entergy Louisiana has the same need to increase its generating capacity to meet projected native load and a required reserve margin. This consideration further supports a conclusion that the effect of the Proposed Transaction will be *de minimis* with respect to the MISO capacity market and consistent with the public interest.

Pursuant to 18 C.F.R. § 33.3(a)(2)(ii), no intervenor has alleged that one of the Applicants is a perceived potential competitor in the same geographic market as the other. Only two parties have intervened in this proceeding and neither has protested the Joint Application or provided comments. Accordingly, no intervenor has alleged that one of the Applicants is a perceived potential competitor in the same geographic market as the other.

2. Please define Entergy Louisiana's "capacity obligation", with reference to MISO's concept of the "planning reserve margin requirement".

On a seasonal basis, Entergy Services, LLC, on behalf of the Entergy Operating Companies including Entergy Louisiana (each Entergy Operating Company is a MISO load-serving entity, or "LSE"), calculates a long-term planning reserve margin that it uses to plan each Entergy Operating Company's capacity supply plan in a manner that limits the amount of financial exposure that each Operating Company bears in the MISO capacity market[9]. The reference to "capacity obligation" in the market power study prepared by Dr. John R.

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6. As demonstrated in the Joint Application, MISO is the relevant destination market for assessment of the Proposed Transaction. Joint Application at 14-17. MISO's current installed generating capacity is 207 GW. MISO Fact Sheet (January 2026) (accessed March 18, 2027) https://www.misoenergy.org/meet-miso/media-center/corporate-fact-sheet/. In 2027, Entergy Louisiana's surplus capacity of 764 MW would represent approximately 0.37% of MISO's current installed generating capacity. In 2031, Entergy Louisiana's surplus capacity of 744 MW would represent approximately 0.36% of MISO's current installed generating capacity.

7. *Osprey Energy Center, LLC*, 152 FERC ¶ 61,066 (2015) ("Osprey Energy").

8. *Id*. at P 34.

9. Under the MISO Tariff, a load-serving entity's "Planning Reserve Margin" is the percentage above forecasted Coincident Peak Demand of Planning Resources for the Transmission Provider Region in order to meet the LOLE [Loss of Load Expectation]. This percentage will include a quantity sufficient to cover transmission losses." MISO Tariff Module A, Section 1.P.

Morris and Keith Everhart[10] is a reference to Entergy Louisiana's Planning Reserve Margin. The MISO Tariff's Planning Reserve Margin calculation aims to ensure that LSEs procure sufficient capacity to reliably serve their load during the relevant season.

Also on a seasonal basis, MISO's seasonal PRA results in seasonal Planning Reserve Margin Requirements that equate to an LSE's Resource Adequacy Requirements ("RAR"). Under MISO's rules, "[t]he RAR is established to ensure that LSEs have enough Planning Resources to reliably serve load for the applicable Seasons."[11] Entergy Louisiana's seasonal Planning Reserve Margin calculation is undertaken as part of its effort to serve its capacity obligation in satisfaction of MISO's calculated RAR.

3. Please explain and provide support for your assertion that "[w]ithholding the Cottonwood Project from capacity auctions would be against Entergy Louisiana's interests as a load-serving entity, as any perceived benefit received is offset by increased costs, as well as regulatory accounting to ratepayers." Please explain how this assertion supports the conclusion that the Proposed Transaction will not have an adverse effect on competition in the product market for capacity.

In the Joint Application the Applicants explained that Entergy Louisiana concluded that acquiring the Cottonwood Project would help satisfy its planning objectives with respect to reliability, affordability, and sustainability.[12] As also addressed in response to Question 1, above, Entergy Louisiana is incentivized to acquire and operate the Cottonwood Project to serve its customers' interests in reliable, affordable, and sustainable service.[13] Withholding the Cottonwood Project from MISO's capacity market would be against Entergy Louisiana's interests as a load-serving entity because such practice would be contrary to Entergy Louisiana's planning objectives with respect to reliability, affordability, and sustainability.

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10. Exhibit JM-1 at 22.

11. MISO Business Practice Manual 011, *Resource Adequacy Business Practices Manual*, at 19 (March 10, 2026).

12. Joint Application at 10-11 (citations omitted). The Joint Application's explanation with respect to the Cottonwood Project's positive effect on Entergy Louisiana's planning objectives with respect to reliability, affordability, and sustainability cited to the testimony of Laura K. Beauchamp, Entergy Louisiana's Vice President for Business Operations and Strategy, provided as part of Entergy Louisiana's application to the Louisiana Public Service Commission ("LPSC") for transaction approval. *Application of Entergy Louisiana, LLC for Approval to Acquire Cottonwood Generation Facility and for Cost Recovery*, LPSC Docket No. U-37801 at 50 (December 3, 2025) ("LPSC Application").

13. In her LPSC Application prepared testimony, Ms. Beauchamp explains that "ELL's projected load (plus a planning reserve margin) exceeds the capacity of ELL's existing and LPSC-approved resources, which indicates an urgent need for additional long-term capacity – a need that is further pronounced with the addition of several new high-profile loads that have been announced by the Company over the last twelve months . . ." *Id.* at 45.

With specific reference to the cost impact of withholding capacity, were Entergy Louisiana to withhold the Cottonwood Project from the MISO capacity market with the objective of benefitting from higher capacity costs, those higher capacity costs would be the responsibility of customers in MISO LRZ 9, most of which are Entergy Louisiana customers. More directly, if Entergy Louisiana were to withhold Cottonwood Project capacity from the MISO PRA in years during which Entergy Louisiana is already projected to be in a capacity deficit, Entergy Louisiana would be required to purchase even more capacity from the PRA at higher prices resulting from withholding. In this scenario, Entergy Louisiana would be charging its retail customers for the cost to own and operate the Cottonwood Project and then purchasing replacement capacity from the PRA, which conduct would be subject to a prudence review by the LPSC.

Entergy Louisiana maintains a Formula Rate Plan with the LPSC pursuant to which its retail service revenue requirement is subject to periodic adjustment through an annual filing and review process.[14] Under the Formula Rate Plan, Entergy Louisiana's costs are evaluated on an annual basis and certain extraordinary cost increases incurred by Entergy Louisiana can trigger further LPSC proceedings to consider if such costs can be passed through to retail customers. A strategy of withholding the Cottonwood Project from the MISO market to drive up prices would be counterproductive to Entergy Louisiana because it would pose a risk of the Cottonwood Project costs being disallowed from recovery under its Formula Rate Plan.

Moreover, Entergy Louisiana has an obligation to credit to retail customers, through a retail rate mechanism approved by the LPSC, the net revenue it receives from wholesale sales of capacity and energy.[15] The Commission has taken note of such an obligation to conclude that it would limit the incentive of the market participant to make wholesale sales of capacity and energy at elevated prices. In *Osprey Energy*, the Commission took note of the obligation of a public utility to credit back to retail customers gains from short-term wholesale sales below a three-year average level of sales and 80 percent of gains from

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14. Entergy Louisiana's Formula Rate Plan, Rider Schedule FRP, was approved by the LPSC in LPSC Order No. U-36959, *In re: Application for an increase in rates, whether through a Formula Rate Plan extension or rate review, and proposed revisions to certain fees assessed to customers* (August 14, 2024).

15. In the LPSC's General Order in Docket No. R-33391, *In Re: Commission Consideration of Potential Rules and Parameters for Participation in the Midcontinent Independent System Operator, Inc. Annual Planning Resource Auction* at Ordering Paragraph 4 (May 16, 2018), the LPSC ordered that "ELL is authorized to use the 'Additional Capacity' provision of its current Formula Rate Plan to pass through to customers the revenues and expenses associated with the PRA, including all deferred/accrued PRA revenues and expenses that have not been recovered or returned to ratepayers since MISO membership. The revenues and expenses associated with the PRA will fluctuate from year to year, and they are short-term substitutes for other capacity acquisitions, purchases or sales that would otherwise be required or reasonable. Any currently deferred PRA net unrecovered expense should be flowed through to ratepayers over such time period as may be determined by the Commission after consultation with Commission Staff in the FRP or base rate proceedings."

wholesale off-system sales above the three-year average.[16] The Commission concluded that such obligation "would limit the incentive to make wholesale sales at elevated prices."[17] Entergy Louisiana's crediting obligation is similar but more stringent, requiring it to credit all of the net revenue from wholesale sales of capacity and energy to retail customers.[18] This crediting mechanism eliminates any incentive Entergy Louisiana might have to withhold the Cottonwood Project from the MISO capacity market to increase wholesale prices in MISO.

The foregoing considerations that incentivize Entergy Louisiana NOT to withhold the Cottonwood Project from the MISO capacity market support the conclusion that the Proposed Transaction will not have an adverse effect on competition in the product market for capacity.

REQUEST FOR TEN DAY PUBLIC COMMENT PERIOD

Entergy Louisiana respectfully requests the Commission to establish a public comment period for this submission not to exceed ten (10) days. No party will be harmed by the grant of a shortened notice period because Entergy Louisiana will serve this submission on the two parties that have intervened in this proceeding. Entergy Louisiana notes that no party has protested the Joint Application or submitted comments.

CONCLUSION

For the reasons explained in the Joint Application and this submission, Entergy Louisiana requests the Commission to issue an order authorizing the Proposed Transaction pursuant to FPA Section 203 without condition or hearing.

Respectfully submitted,

/s/ Michael Griffen

Michael C. Griffen
Attorney for Entergy Services, LLC,
on behalf of Entergy Louisiana, LLC

cc: Service List

16. *Osprey Energy* at P 36.

17. *Id*.

18. *See* note 15, above.

Document Content(s)

CECLP-ELL_Deficiency_Response_EC26-43-___3-20-2026.pdf.....1